

Final Exam — Answer Key and Marking Sheet

Paper A in full, the marking sheet, the certification record, and an alternative set for the retake.

Instructor copy • not for circulation • sat 14–18 December 2026

MARKING PRINCIPLES

1. **Every part must pass on its own.** 92% overall with 67% on Part A is a fail, and you retake Parts A and B, not the whole paper.
2. **Naming the test is worth marks even when the status is wrong.** A student who says “Head of Household, because the spouse was out of the home from March” has shown the right reasoning on the wrong facts; a student who says “Head of Household” with nothing else has shown nothing.
3. **“I would ask...” is a correct answer** wherever the fact pattern genuinely does not settle it. Reward it.
4. **Do not award marks for a number invented to fill a gap.** In Part C this is an automatic zero on that sub-question, whatever else is on the page.

Part A — Filing status

A1 • Dominique

Head of Household

She is unmarried and paid more than half the cost of the home, so tests 1 and 2 are straightforward. Test 3 is the work: her brother is a qualifying person because a sibling satisfies the relationship test, and at 23 he passes the age test as a full-time student under 24 who is younger than she is. **Award the 2 test marks only if the answer names test 3 and explains the student exception.** “Head of Household because she paid everything” scores 3 out of 5.

A2 • Tonya

Head of Household

She was still married on 31 December — the divorce landed two days into 2027 — so she needs *considered unmarried*, and she meets it: separate return, paid more than half, spouse out of the home since 6 March and therefore absent for the whole of the last six months, the home was her daughter's main home, and she can claim her. This is the positive case of the rule that catches everyone out in the negative. **The test mark is for naming “considered unmarried” and the six-month condition.**

A3 • Bernard

Head of Household

The dependent-parent exception. A parent is a qualifying person even though she does not live with him, because he pays more than half the cost of keeping up her home and can claim her. Nobody living with Bernard is irrelevant. Expect this to be the lowest-scoring question on Part A.

A4 · Sharon

Married Filing Separately

Married on 31 December, so she needs considered unmarried — and the test is that the spouse did not live in the home *at any point* during the last six months of the year. Two weeks at Christmas is a point during the last six months. It fails. **Full marks require “at any point”**; a student who writes “he was hardly ever there” has missed the whole question.

A5 · Priya

Single

Tests 1 and 2 pass comfortably. Test 3 fails: a qualifying person must be a relative, and the boyfriend's daughter is not related to Priya. Someone who qualifies only by living in the home never makes your client Head of Household, however much they paid. She may be able to claim the child as a dependant — award a bonus note, not a mark, if they raise it.

A6 · Curtis

Married – jointly or separately

Marital status is decided on 31 December, so marrying on the 28th makes him married for the entire year. Head of Household is not available: he is married, and his wife lived in the home during the last six months. **The test mark is for the 31 December rule.**

Part B — Earned Income Tax Credit

B1 • Nadia

Yes – the no-children credit

\$14,200 of wages is earned income and sits under the no-children ceiling of \$19,540. Full marks need the student to have checked the ceiling rather than assumed it. A student who answers “no, she has no children” has missed that the credit exists without children at all — a common and expensive gap. *Marker's note: the childless credit also carries its own minimum and maximum age condition, which the modules do not teach. Confirm it before marking and do not penalise a student for not raising it.*

B2 • The unemployment client

No credit at all

Unemployment compensation is not earned income. She has two qualifying children and no earned income, so there is no credit. The test mark is for saying *why* — “no earned income”, not “her income is too low”. Award a bonus note if the student also says this is a conversation to have at the desk rather than leave to an IRS letter.

B3 • Darius

No credit – investment income of \$12,450 breaks the limit

A deliberate near-miss. Investment income is $\$11,900 + \$550 = \textbf{\$12,450}$, which is over the \$12,200 limit, so the credit is gone entirely — two qualifying children notwithstanding. A student who reads only the capital gain and answers “yes, on two children” has failed to add the dividends. Zero marks for “yes”; full marks require the \$12,450 total and the point that there is no tapering.

B4 • Renee

Not on the daughter. Possibly the no-children credit

The daughter is 20, not under 19, and was not a student at any point, so the age test fails and she is not a qualifying child. Renee may still qualify for the no-children EITC if her own circumstances fit. Full marks for naming the age test and for not stopping at “no”.

The mother claims – if she claims at all

Rule 1: a parent beats a non-parent, regardless of nights or income. The eight months with the grandmother do not change that. *But* if the mother does not claim the child, the grandmother may, because her AGI of \$34,000 exceeds the mother's \$9,000 — rule 4. Full marks require both halves. A student who jumps to nights or to income has applied the rules out of order, which is the single most common EITC error there is.

Ask, document, and most likely prepare

The pattern is the Module 3 warning sign — cash income, no expenses, landing at the peak — so the duty to make reasonable inquiries is engaged. But unlike the Module 3 scenario, **she has a full year's appointment book**, which is real contemporaneous evidence. The correct answer: ask how many clients, how often, what she buys and how she travels; use the appointment book; reconstruct the expenses that plainly exist (hair product, gloves, travel); document all of it; and prepare the return if the answers hold together. A student who declines outright has over-learned Module 3; a student who prepares it with zero expenses and no questions has learned nothing.

Part C — Yvette Mercer

Q	MARKS	ANSWER	WHAT EARNS THE MARKS
C1	3	Head of Household	Unmarried, paid more than half the cost, Kaiden lived with her all year. 2 for the status, 1 for naming which test she satisfies.
C2	3	Federal 1040, MI-1040, Detroit 5118	1 mark each. The third mark needs "because she was a Detroit resident all year", not "because Box 20 says Detroit".
C3	5	Gross 3,200.00 less supplies 640.00 less 900 miles at the standard rate	3 for the method — gross receipts, receipted supplies, mileage at the current standard rate. 1 for using the figures sheet rate rather than a remembered one. 1 for noting that self-employment tax applies with half deductible as an adjustment. <i>At an illustrative \$0.70 per mile the net profit is about \$1,930 — substitute the confirmed rate.</i>
C4	4	EITC on one child; Child Tax Credit on Kaiden	2 for the credits. 2 for earned income being wages plus Schedule C net profit , roughly \$21,470 on the illustration — a student who uses the W-2 alone loses both.
C5	4	The Homestead Property Tax Credit	She rents, and renters qualify — \$9,300 of rent for the year, a portion treated as property tax. 3 marks for finding it, 1 for the basis. This is the question that separates the cohort. Her own words were "nobody's ever asked me about the rent."
C6	6	Two file notes	3 marks each, and only when all four elements are there: date, what you asked, what they said, what you saw. The obvious two are Kaiden's residency ("asked how many months — client said all twelve — saw school registration") and whether anyone else has claimed him, which she raised herself at intake and which nobody followed up.

PART C – AUTOMATIC DEDUCTIONS

- A mileage figure other than 900, with no basis: zero on C3.
- Earned income stated as the W-2 alone: zero on C4.
- A file note with no date: zero for that note.
- Promising a refund date anywhere on the paper: flag it and raise it in the debrief. Her return claims EITC and is held by law.

Part D — Ethics and due diligence

D1 • 3 marks

The \$200 cash, no PTIN

Refuse – 3 points

Anyone who prepares a return for compensation must have a PTIN on it; leaving it off is exactly what a ghost preparer does and it is not a favour to the client, because it leaves them with no signed preparer if anything goes wrong. The correct answer is a clear refusal, the return prepared properly with the PTIN on it if the client still wants it, and the conversation reported to the trainer. 1 mark for the refusal, 1 for the PTIN rule, 1 for telling the trainer.

D2 • 3 marks

The wrongly claimed dependant, discovered in March

Tell the trainer first, then the client, then correct it

Order matters and is the point of the question. This is a prior return that has already been filed, so it is on the escalation list — the student does not handle the amendment alone. What they must not do is nothing, and what they must not do is contact the client with an improvised explanation first. 1 mark for raising it immediately, 1 for escalating rather than fixing it alone, 1 for documenting what was found and when.

D3 • 3 marks

Income identical to the dollar, including cash

Inquire, and record the inquiry

Duty 3 — knowledge. Identical cash income two years running is inconsistent with how cash income actually behaves, so the duty to make reasonable inquiries is engaged. The answer must contain an actual question the student would ask, and a note recording what they asked and what she said. 1 mark for identifying the duty, 1 for a real question, 1 for the note.

D4 · 3 marks

The four items on Form 8867

EITC · CTC/ACTC/ODC · AOTC · Head of Household

2 marks for all four; 1 for three. The final mark is for the reason: the due-diligence penalty applies separately to each, so a single return can carry four of them, and the firm can be assessed as well. Do not require a dollar figure — we deliberately do not teach one. A student who writes “look up the current amount” has understood the course.

D5 · 3 marks

The escalation list

**IRS notices · identity theft · unfiled prior years · companies and partnerships
· anything you are unsure about**

3 marks for all five, 2 for four, 1 for three. The fifth is the one that matters most and is the one most often left off.

MARKING SHEET – ONE PER CANDIDATE

Final exam record

Candidate: _____ Date sat: _____ Paper: A /

B (retake)

QUESTION	MARKS AVAILABLE	AWARDED
A1	5	_____
A2	5	_____
A3	5	_____
A4	5	_____
A5	5	_____
A6	5	_____
Part A total — 24 of 30 needed (80%)	30	_____
B1	5	_____
B2	5	_____
B3	5	_____
B4	5	_____
B5	5	_____
B6	5	_____
Part B total — 24 of 30 needed (80%)	30	_____
C1	3	_____
C2	3	_____
C3	5	_____
C4	4	_____
C5	4	_____
C6	6	_____
Part C total — 18 of 25 needed (70%)	25	_____
D1	3	_____

QUESTION	MARKS AVAILABLE	AWARDED
D2	3	_____
D3	3	_____
D4	3	_____
D5	3	_____
Part D total — 11 of 15 needed (70%)	15	_____
TOTAL	100	_____

OUTCOME

Result: ☐ Pass — all four parts met ☐ Retake, Parts: _____

Marker: _____ **Date:** _____

Notes for the candidate — specific, and tied to a question number:

Certification record

Completed and signed once, per preparer, before their first client. This page is the firm's record that the person in front of a client in January was ready.

- ☐ 2027 PTIN issued — number _____
- ☐ Firm security plan read and signed — date _____
- ☐ All eight knowledge checks passed at 70% or better
- ☐ All six assignments submitted and marked acceptable
- ☐ All four practice returns completed, with file notes
- ☐ Difficult interview assessed — asked, recorded, said no
- ☐ Three full software cycles completed unaided

☐ Final exam passed — A _____ B _____ C _____ D _____

☐ Escalation list acknowledged

☐ First-fifteen review arrangement explained and understood

Preparer's signature _____ **Date** _____

Authorised by _____ for Carter Cole & Associates LLC **Date** _____

Alternative scenarios

One retake, at least seven days after the first sitting, with different scenarios. Same structure, same weights, same thresholds. Only the parts that were failed are re-sat.

Part A — six alternatives

#	FACT PATTERN	ANSWER AND DECIDING TEST
A1	Marlon, 40, unmarried. His 15-year-old nephew lived with him from 1 February 2026 to the end of the year after the boy's mother went into hospital. Marlon paid every cost.	Head of Household. A nephew is a descendant of a sibling, so the relationship works, and eleven months is more than half the year. Test 3.
A2	Gail's husband died on 19 May 2026. She has no children and did not remarry.	Married Filing Jointly for 2026 — the year of death. Qualifying Surviving Spouse is not available to her in any year because she has no dependent child. Escalate if the student is unsure; this is a legitimate “ask the trainer”.
A3	Devon and his wife separated on 30 June 2026 and she moved out that day. Their two children stayed with Devon and he paid every bill. He will file separately.	Married Filing Separately. She lived in the home on 30 June, which falls in the last six months of the year. One day inside the window is enough. The six-month rule.
A4	Rochelle, unmarried, supports her adult son who lives in his own apartment. She pays more than half his costs and can claim him as a dependant.	Single. The dependent- <i>parent</i> exception applies only to a parent. Any other qualifying person must have lived with the client for more than half the year. Test 3.
A5	Anita married on 3 January 2027. Throughout 2026 she lived with her fiancé and her own 9-year-old daughter, and paid every cost of the home.	Head of Household. She was unmarried on 31 December 2026; the January wedding is next year's problem. Her daughter is a qualifying person. The 31 December rule.
A6	Terrence, unmarried, shares a flat with a friend. They split the rent and bills exactly in half. His 7-year-old son lives with them full time and Terrence pays everything for the boy.	Single. Test 2 fails — he paid exactly half the cost of keeping up the home, not <i>more</i> than half. The child does not rescue it. This question separates students who check all three tests from students who stop at the child.

Part B — six alternatives

#	FACT PATTERN	ANSWER AND DECIDING RULE
B1	Kendra, 34, unmarried, no children, \$21,400 of wages and no other income.	No. The no-children ceiling is \$19,540 for a single filer and she is above it. Full marks require the student to have looked the ceiling up rather than guessed. A student who answers “no, she has no children” gets 2 of 5 — right answer, wrong reason.
B2	Omar has one qualifying child and \$4,100 of wages. He also received \$16,000 in child support.	Yes , on one child — on the \$4,100 only. Child support is not earned income and not income at all. The credit will be small; that is the correct answer.
B3	Latoya's son, 17, lived with her all year, and also worked and filed a joint return with his wife purely to get back \$180 of withheld tax.	Yes. The joint-return test is not failed where the joint return was filed only to claim back withholding. The J in R-A-R-J.
B4	Two unmarried parents; the child spent exactly 183 nights with each. The father earned \$31,000 and the mother \$29,500.	The father. Both are parents, the nights are equal, so rule 3 applies and the higher AGI wins. Full marks require the student to reach income only <i>after</i> establishing that the nights tie.
B5	Simone has two qualifying children, \$26,000 of wages, and her younger child does not yet have a Social Security number — the application is pending.	Not on that child. A valid SSN is required. She may claim on the older child. The correct practical answer also includes asking when the number is expected and whether the return should wait.
B6	A client reports a Schedule C loss of \$3,400 from a resale business and \$18,000 of wages, with two qualifying children.	Yes , on two children — but earned income is \$18,000 <i>less</i> the \$3,400 loss, not the wages alone. The loss reduces earned income. Most students miss this.

Part C — alternative client

Andre Whitfield, 44, unmarried. His daughter **Simone**, 14, lived with him all year and he paid every cost. He owned and lived in a house at 16420 Lahser Rd, Detroit, for the whole of 2026; the 2026 property tax billed and paid was **\$1,640**.

DOCUMENT	DETAILS
Form W-2 — Midpoint Logistics Inc.	Box 1 26,300.00 · Box 2 1,090.00 · Box 3 and 5 27,800.00 (Box 12a, code D, 1,500.00) Box 16 26,300.00 · Box 17 1,080.00 · Box 18 26,300.00 · Box 19 620.00 · DETROIT
Form 1099-G	Unemployment compensation 2,850.00 , no federal tax withheld.
What he said	"I was laid off in January and back by March. The unemployment doesn't count, does it?"

MARKING C, PAPER B

- **Head of Household**; federal, MI-1040, Detroit **5118**.
- **The unemployment is fully taxable** and goes on the return — 4 marks. It is *not* earned income, so it does not increase the EITC — a further 3 marks for saying both halves. His question at intake is the question.
- Box 1 and Box 3 differ by the \$1,500 retirement deferral. 3 marks for explaining it in client language.
- **Homestead Property Tax Credit** as an owner — 4 marks.
- He will very likely owe or get less than he expects because no tax was withheld on the unemployment. 3 marks for warning him, and for raising withholding for next year.
- Two file notes, 3 marks each, on the same four-element standard.

AFTER THE EXAM, WHATEVER THE RESULT

Give every candidate their marking sheet back within three days, with the notes filled in and tied to question numbers. A student who passed still needs to know which two answers were weak, because those are the ones that will cost a client money in February.

For a retake: seven days minimum, Paper B, and only the failed parts. Tell them plainly that most people who need a retake pass it — because it is true, and because a demoralised preparer is a careless one.

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